Democracy vs Dictatorship

Comparative Politics

November 1-5, 2021

Last time

- We learned about the **predictable unpredictability** of transitions to democracy
- We have spent about four weeks of the semester talking about democracy and dictatorship
- Why do we care so much about this?
- **This week:** Does it make a difference to live in a democracy or a dictatorship?
- Focus on material well-being `(using a very low bar)`

Normative perspective

- We live in a part of the world that values democracy and believes it makes people's lives better
- We also believe that dictatorships are bad because of their poor human rights record
- But in recent years we have seen protests against democratic governments resisted with unprecedented violence `(e.g. Latin America)`
- We also recently saw a not-so-small group of people willing to completely disregard the result of an election in the United States
- Not to mention that a lot of people have suffered and died in the name of both democracy and dictatorship
- **Aristotle:** Any regime is susceptible to corruption `(government for the benefit of the ruling class)`

What we know

- **Normatively:** We believe that democracy leads to better outcomes
- **In theory:** We have reasons to believe it can go both ways
- **In practice:** It looks like democracy is `sufficient` but `not necessary` to guarantee material well-being

Theoretical explanations

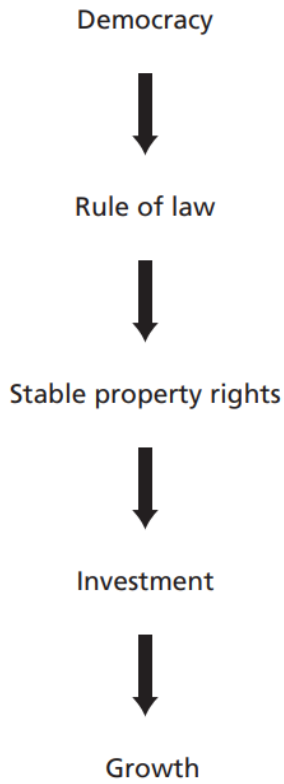
Do democracies produce higher economic growth?

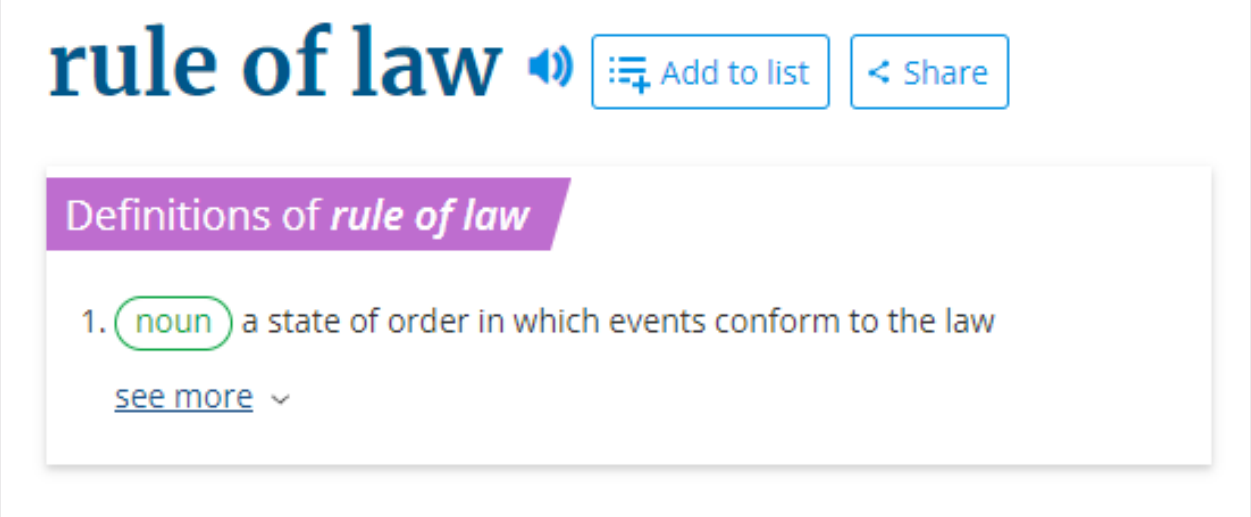
1. Property rights story
2. Consumption vs. investment story
3. Dictatorial autonomy story

- These are all very dense explanations! Let's make sure we are on the same page

1. Property rights story

FIGURE 9.1 **A Hypothesized Causal Path between Democracy and Economic Growth**





- Democracy generates good economic outcomes by creating a predictable legal environment, which is good for investment
- The empirical evidence for this argument is weak:
  - Rule of law **IS** linked with economic growth
  - But electoral democracy **IS NOT** associated with rule of law

Some examples (Barro 2000)

	Rule of law	
	High	**Low**
Electoral rights		
High	Germany	Bolivia
Low	Singapore	Afghanistan

- These examples reflect the general pattern
- We can find democracies and dictatorships with high and low electoral rights and rule of law
- Democracies are no more likely than dictatorships to guarantee property rights

Why do democracies fail to protect property rights?

- To answer that, we need to take a step back
- What interests do governments pay attention to?
- Do incentives vary across regimes?
- For this, we need a model

Meltzer-Richard model

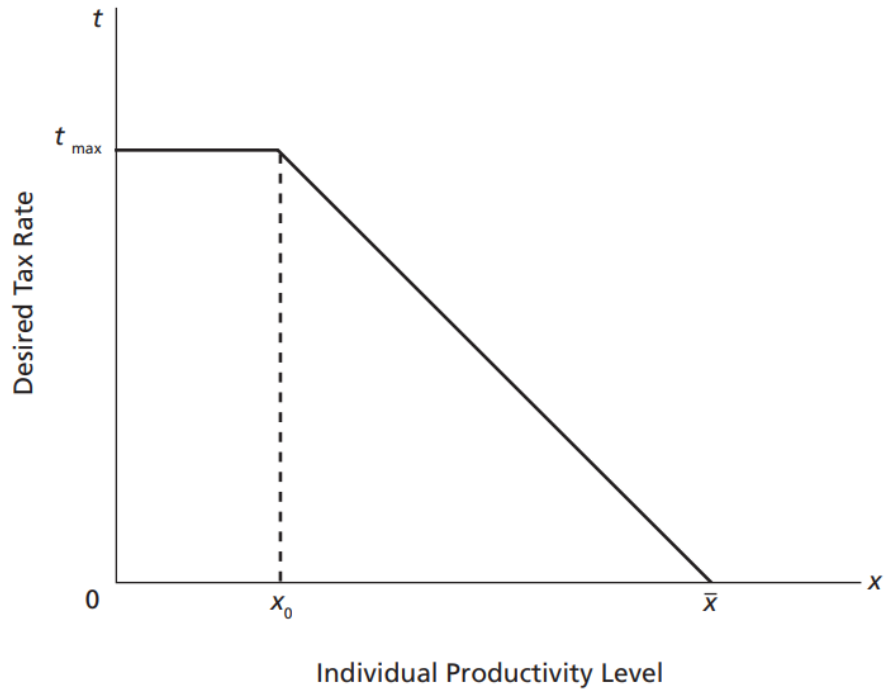
- This is a model that explains variation in the **size of a government**
- By "size" we mean how much money they collect in taxes and redistribute
- We assume that more distribution imply governments working harder to ensure people's material well being

Setup

- Everyone in society pays a portion t of their income as tax
- Government distributes revenue equally across individuals
- Those with below-average income are **net recipients**
- Those with above-average income are **net contributors**
- **net recipients** are happy with the highest possible tax rate
- **net contributors** would prefer to pay no tax at all
- People in the middle are ok paying some taxes as long as they end up in the positive

Visualizing preferences for taxation

FIGURE 9.2 **Individual Productivity and Desired Tax Rate According to the Meltzer-Richard Model**



Note: x = an individual's level of productivity; $\bar{x}$ = the average level of individual productivity in society. Individuals with a productivity level below x_0 will choose not to work and to live entirely on government transfers. t = an individual's desired tax rate; t_{max} = the maximum desired tax rate.

What does this mean for democracy vs dictatorship?

- The Meltzer-Richard model is about the distribution of preferences over taxation in a society
- We also need to know how governments choose what the tax rate will be
- **Democracy:** Governments care more about the preferences of those below average income
- **Dictatorship:** Governments care more about the preferences of those above average income
- If this is true, then the rich may not be willing to invest in a democracy as much as they would in a dictatorship `(keeping everything else the same)`
- From this point of view, democracy is bad for economic growth

Critiques to the Meltzer-Richard model

1. **Poor people are less likely to vote:** So the tax rate in a democracy won't be too different from that of a dictatorship `(Why exactly? Maybe this is a good question for the quiz... )`

2. **Structural dependence of the state on capital:** Regardless of the distribution of preferences, capitalists have a veto power over state policies. It may be counterproductive for a democracy to redistribute too much if it means that all the key investors will move their money elsewhere `(Hmm... the textbook has a figure about this thay may be important)`

2. Consumption vs investment story

- The rich can choose whether to consume or invest their income
- The poor can only consume
- Since the poor vote in democracies, they encourage governments to redistribute prioritizing consumption over investment
- Future-oriented dictators can force the poor to save/invest, which can promote growth

Example: Swallowing the bitter pill

- Free-market reforms implemented by dictatorships in the 70s/80s `(e.g. China, South Korea, Chile, Peru)`
- Some cases were more or less successful in bringing economic growth
- But the agreement at the time was that adopting pro-market reforms would produce a period of economic decline early on
- It was easier to "convince" people to accept this transition period for countries that were dictatorships at the time

Critiques to the consumption vs investment story

- Do the poor really consume more?
- Is economic growth all about investment? Is "forcing" people to do so the only way?
- Why would dictators care more about the future than democratic leaders?
- **This story seems specific to the post Cold War period. Not so much a general explanation**

3. Dictatorial autonomy story

Version I

- Dictators face less pressure from special interests
- No need for inefficient spending to satisfy different constituencies

Version II

- Dictators face less pressure from special interest
- So they are free to predate, which discourages investment

- Which one is right? We circle back to previous explanations and their gaps
- **Why would a dictator want to promote growth?** `(We'll return to this in our discussion)`
- **Why would a democracy want to protect property rights more?**

A big assumption

- We talk a lot about the effect of regime types on economic growth and investment `(Usually in terms of GDP per capita)`
- This is an **invalid** yet **reliable** measure of development and other forms of material well-being
- Implicitly, we are assuming that **economic growth is a necessary condition** for all other good things `(e.g. wages, healthcare, education, pensions, security, infrastructure, freedom)`
- Notice that a good economy is **necessary** but **not sufficient** for these things
- An important part of the massive protests we have seen in recent years in both democracies and dictatorships has to do with growing economies not fulfilling their promises

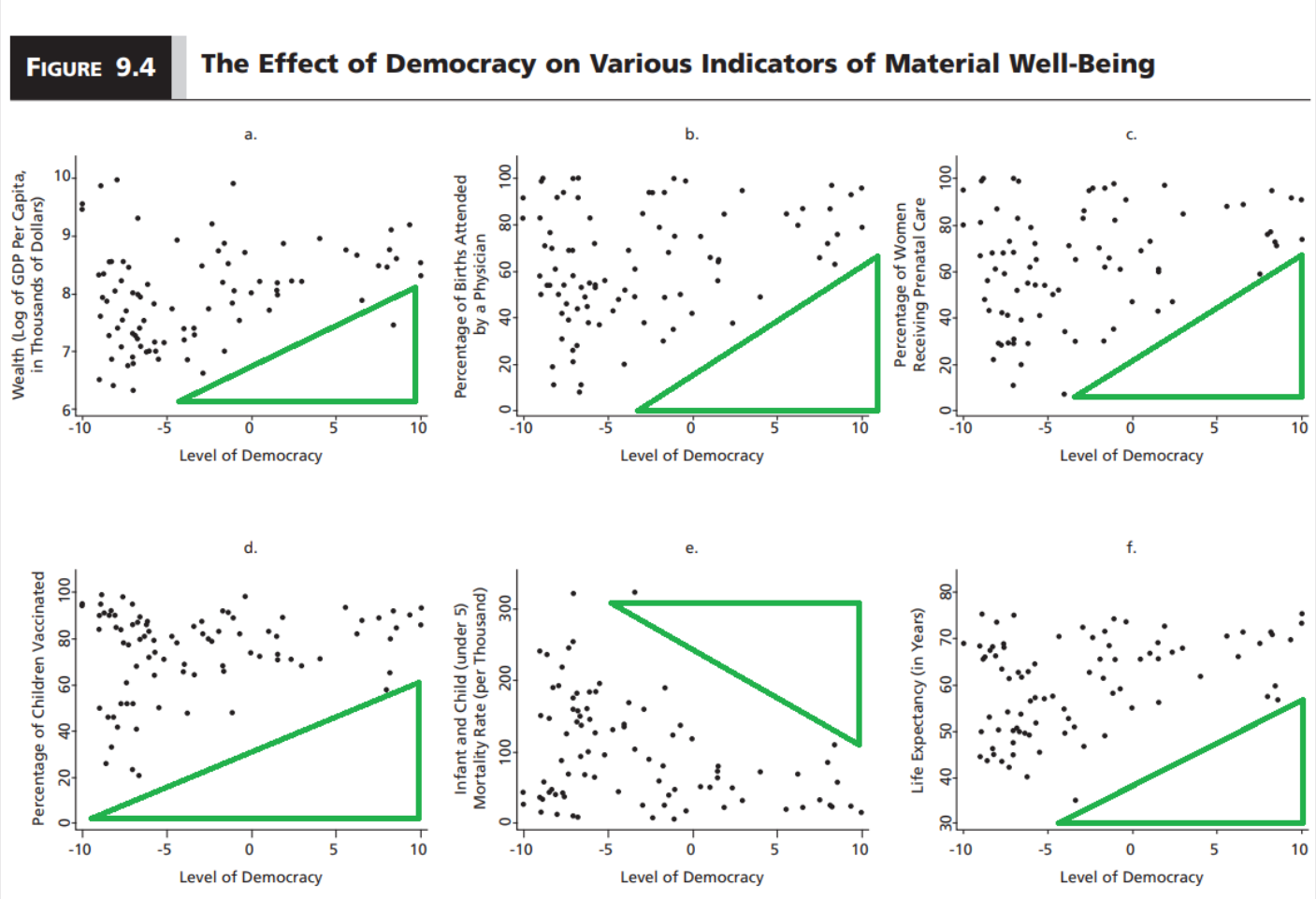
Necessary and sufficient conditions

- A **necessary** condition is one without which we would not observe the outcome, but that does not imply that it always produces the outcome
- A **sufficient** condition is one with which we would always observe the outcome, but there may be alternative causes
- Conditions can be either **necessary** or **sufficient**, or **both** at the same time

Examples

- If democracy is **necessary** for material well-being:
  - All the countries that do well are democracies
  - Not all democracies do well
- If democracy is **sufficient**:
  - Not all countries that do well are democracies
  - All democracies do well
- If democracy is **necessary AND sufficient**:
  - All the countries that do well are democracies
  - All democracies do well
- The last example implies that democracy is the only path to material well-being

Empirical evidence



Democracy is sufficient but not necessary

- The triangles of empty space suggest two things:

  1. All democracies have high material well-being
  2. Dictatorships can perform either way

- These are **low bar** indicators of well-being

- We should read these results as democracy being **sufficient** to guarantee **the most basic living conditions**

- These conditions are in turn **necessary** for more ambitious dimensions of well-being `(e.g. education, wages)`

- That does not mean that democracy is **necessary**

What does this all mean?

- Democracy is **sufficient** but not **necessary** for material well-being
- So we cannot just go and say that democracy **causes** material well-being
- Why not? **The single point in time critique!**

Newer evidence

American Political Science Review (2021) 115, 1, 179–198

The Non-Democratic Roots of Mass Education: Evidence from 200 Years

AGUSTINA S. PAGLAYAN *University of California, San Diego*

Because primary education is often conceptualized as a pro-poor redistributive policy, a common argument is that democratization increases its provision. But primary education can also serve the goals of autocrats, including redistribution, promoting loyalty, nation-building, and/or industrialization. To examine the relationship between democratization and education provision empirically, I leverage new datasets covering 109 countries and 200 years. Difference-in-differences and interrupted time series estimates find that, on average, democratization had no or little impact on primary school enrollment rates. When unpacking this average null result, I find that, consistent with median voter theories, democratization can *lead to an expansion of primary schooling, but the key condition under which it does—when a majority lacked access to primary schooling before democratization—rarely holds. Around the world, state-controlled primary schooling emerged a century before democratization, and in three-fourths of countries that democratized, a majority already had access to primary education before democratization.*

- Universal primary education is a **higher bar** than infant mortality, life expectancy, etc
- Most improvements to basic material well-being happened **before democratization**

Takeaways

- We have many explanations of why democracy may or may not improve material well-being

  1. Property rights story
  2. Consumption vs. investment story
  3. Dictatorial autonomy story

- In practice, all we can learn is that democracy is **sufficient** for material well-being

- But we have to make some **caveats**:

  - We are using very **low bars** to measure material well-being
  - Many of the improvements in democracies happened **before democratization**

- We do not have a complete picture

- We keep going back to why rulers in a democracy or dictatorship would care about promoting material well-being to begin with

Reminder:

Quiz 3 Due Friday 5:00 PM

Next Week:

Problems with Group Decision-Making